



CA INTER MAY/SEP 26/JAN 27

GST

**INPUT TAX
CREDIT**

ONE SHOT



Chapter 8: Input Tax Credit (ITC)

Section 16 [Eligibility for Taking ITC]

1. Conditions For Claiming the ITC:
 - a) Every RP shall be entitled to take ITC.
 - b) G/S or both must be used or intended to be used in the course or FOB.
 - c) He has received the said G/S except in the case of Bill to Ship to model.
 - d) He must be have Tax invoice/Dr.note.
 - e) No ITC shall be allowed to RP in respect of invoice which is not communicated to RP in FORM- GSTR-2B.
 - f) He (claimant of ITC) has furnished GSTR-3B
 - g) The supplier has paid amount of tax to Government (right now this condition is not applicable – recipient can claim the ITC as self assessed in GSTR-3B on the basis of ITC communicated in GSTR-2B)

Reversal Of ITC by Recipient

1. Supplier has filed the GSTR-1 but has not filed GSTR-3B till 30th September of next FY.
2. Then Recipient has to reverse the ITC for the same till 30th November of succeeding FY to which such ITC relates. However, Recipient is eligible to take ITC as and when Supplier files GSTR-3B

2. If goods are received in instalments against a single invoice, credit can be taken upon receipt of last installment of goods.

3. If recipient does not pay supplier within 180 days from invoice date then ITC availed + interest @ 18% p.a (u/s 50) must be reversed. ITC can be re-availed once payment is made.

Exceptions (180 days rule not applicable):

1. Notified RCM supplies
2. Deemed supplies without consideration
3. Additions to value where liability of supplier is paid by recipient
4. Claim of depreciation on tax component disqualifies a recipient of Capital goods from availment of ITC.

5. Time limit for availment of ITC [Section 16(4)]

ITC on invoices or debit notes issued in any FY can be availed on or before:-

- a) 30th Nov of the succeeding FY
- b) Actual Date of filing of annual return (GSTR-9) for the relevant year.

Restrictions on use of amount available in electronic credit ledger [Rule 86B]

If monthly taxable turnover (excluding exempt & zero-rated) exceeds ₹50 lakh, then max 99% output tax can be paid using ITC → minimum 1% must be paid in cash.

Exceptions

This restriction shall not apply in following cases:

- a) If the registered person / proprietor / Karta / MD / any 2 partners / WTD / trustees, etc. have paid income tax > ₹1 lakh in each of the last 2 FY.
- b) If the registered person has received refund > ₹1 lakh in preceding FY on account of:
 - i. Zero-rated supplies made without payment of tax or
 - ii. Inverted duty structure (higher ITC than output tax).
- c) If the registered person has already discharged output tax in cash ≥ 1% of total liability cumulatively up to the current month in the same FY.
- d) Where RP is Government Department; Public Sector Undertaking; Local authority and Statutory body

Section 17 [Apportionment of Credit and Blocked credit]

1. Where the G/S or both are used by RP partly for business and partly for other purposes, then ITC shall be restricted only to the business purposes [Section 17(2)]
2. Where G/S or both are used by RP partly for taxable supplies including zero-rated supplies and partly for exempt supplies, then ITC shall be restricted to taxable supplies including zero-rated supplies [Section 17 (3)]
3. Blocked Credit [Section 17 (5)]
 - A. Motor Vehicle (MV) / Vessel (V) / Aircraft (A)

Generally, ITC is blocked. However, ITC is available in following case:



- a. MV with seating capacity > 13 Person including driver.
- b. MV/V/A Purchased for further supply
- c. MV/V/A Purchased for providing Transportation of Passenger Service
- d. MV → used in Driving School
- e. V → used in Navigation Training
- f. A → used in Flying School
- g. MV/V/A → used for Transportation of Goods

Note: Following shall not be considered as MV & Hence ITC is available.

- a) Train (Vehicle Run on Fixed Rail)
- b) MV (2/3-wheeler with up to 25CC)
- c) Vehicles run within factory/enclosed premises.

B. General Insurance / Repair & Maintenance / Servicing of MV/V/A

Generally, ITC is blocked. However, ITC is available in following cases:

- a) ITC of MV/V/A is available → ITC of GI/RM/S is also available
- b) RP is manufacturer of MV/V/A
- c) GI/RM/S services availed for Further Supply of such service.

C. Specified Goods & Service

✓ Food & Beverages ✓ Outdoor Catering ✓ Beauty Treatment ✓ Health Services ✓ Cosmetic & plastic Surgery ✓ Leasing & Renting of MV/V/A ✓ Life Insurance ✓ Health Insurance	No ITC Is available Exception: 1. I/W supply for making further supply (either composite or mixed) 2. Such Supplies provided to EEs under statutory Obligation.
✓ Membership of Club/Health/Fitness Centre ✓ Travel Benefit Extended to EEs	No ITC is available Exception: Such Supplies provided to EEs under statutory Obligation.

D. Works Contract Service (construction of Immovable Property)

Construction of Immovable property	ITC Blocked
Construction of Plant & machinery	ITC Available

I/W supply of Works Contract service for further Supply	ITC Available
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Note: Plant & Machinery doesn't Include

- a) Tele-communication Tower
- b) Pipelines laid down outside the factory
- c) Land & Building

No ITC on above items.

- E. G/S purchased for construction of immovable property → ITC blocked
- G/S purchased for construction of Plant & Machinery → ITC Available

F. Other cases where ITC is blocked:

- a) No ITC of Tax paid on composition scheme
- b) No ITC is available for G/S procured by NRTP in India. However, ITC is available for GST paid on Import of Goods.
- c) G/S purchased for personal consumption
- d) Goods Destroyed/disposed off/Gift/Sample/Written-off/Lost/Stolen.
- e) G/S or both received by a taxable person which are used or intended to be used for CSR

Section 18 [Special Circumstances for Availing ITC]

1. Special Circumstances

a) Compulsory Registration [Section 18(1)(a)]

A person who applies for GST Registration within 30 days of becoming liable for registration can claim ITC on:

Inputs; Inputs – WIP & Inputs - FG

From the day immediately preceding the date of becoming liable

b) Voluntary Registration [Section 18(1)(b)]

A person who voluntarily applies for GST Registration can claim ITC on:

Inputs; Inputs – WIP & Inputs – FG

From the day immediately preceding the date of Grant of Registration



c) Composition → Normal Scheme [Section 18(1)(c)]

A person who shifts to Regular scheme from Composition scheme can avail ITC on:

Inputs; Inputs – WIP, Inputs – FG & Capital Goods Reduced ITC*

From the day immediately preceding the date of Transition

d) Exempt Supply → Taxable Supply [Section 18(1)(d)]

A person who shifts from Exempt supply to Taxable supply can avail ITC on:

Inputs; Inputs – WIP, Inputs – FG & Capital Goods Reduced ITC*

From the day immediately preceding the date of Transition

* CG Reduced ITC = GST Paid on CG – 5% per Quarter or part thereof.

2. Time Limit for Claiming ITC [Section 18(2)]

RP shall not be entitled to take ITC in respect of any G/S or both after the expiry of 1 year from the date of issue of tax invoice relating to such supply

3. ITC in case of Amalgamation/Demerger [Section 18(3)]

In case of sale, merger, demerger, amalgamation, lease or transfer of business with transfer of liabilities → unutilized ITC can be transferred to the new entity. Transferor must file Form ITC-02 on GST portal to transfer the ITC.

4. Reversal of Credit on shifting to composition scheme or when taxable supply becomes exempt supply

If RP opts for Composition scheme or their supply becomes wholly exempt must reverse ITC on:

Inputs; Inputs – WIP, Inputs – FG & Capital Goods Reduced ITC*

Available on the day immediately preceding the date of Transition

* CG Reduced ITC = (GST Paid ÷ 60 months) x Remaining Life

5. Reversal of ITC in case of sale of capital goods on which ITC has been taken [Section 18(6)]

The RP shall pay an amount higher of:

- ITC taken on such goods reduced by 5% per quarter of or part thereof
- the tax on the transaction value of such capital goods

Clarifications

Clarification on availability of ITC in respect of warranty-related replacements or repairs services during warranty period.

Issue 01: When a manufacturer provides WRR for goods without charging additional consideration, whether manufacturer is required to reverse ITC on G/S used for providing these warranty services?

No. Such warranty services are not treated as exempt supplies as the value of the original supply already includes the cost of warranty services, and the manufacturer is not required to reverse ITC on G/S used for providing these warranty services.

Issue 02: Where the distributor provides WRR on behalf of the manufacturer, whether the distributor would be required to reverse the ITC in respect of such replacement of parts?

There can be 4 Scenarios in this case

1. Distributor Replaces Parts Using Own Stock or Purchases from a Third Party

- Distributor charges the manufacturer for the parts via a tax invoice.
- GST is payable by the distributor on this supply, and the manufacturer can claim ITC.
- No ITC reversal is required for the distributor.

Example: Distributor XYZ replaces a part worth ₹10,000 (from its stock or third party) and charges the manufacturer ABC Ltd. via a tax invoice. GST of ₹1,800 is paid by XYZ, and ABC Ltd. claims ITC.

2. Manufacturer Provides Parts to Distributor for Warranty Replacement

- Manufacturer supplies parts to the distributor for warranty replacement without charging any consideration.
- No GST is payable, and no ITC reversal is required by the manufacturer.



Example: Distributor XYZ requests parts from the manufacturer ABC Ltd., who sends them without charging any consideration. No GST applies, and ABC Ltd. doesn't reverse ITC.

3. Distributor Uses Manufacturer's Supplied Stock and Manufacturer Issues a Credit Note :

- Distributor replaces parts from prior supplies by the manufacturer.
- Manufacturer issues a credit note and adjusts tax liability as per Section 34(2) of the CGST Act, 2017, provided the distributor reverses ITC on the replaced parts.

Example: Distributor XYZ replaces a part worth ₹5,000 from previous supplies received from ABC Ltd., and ABC issues a credit note for the same. Tax liability is adjusted if XYZ reverses ITC on the part.

4. Manufacturer Replenishes Distributor's Stock Without Consideration

- Distributor replaces parts using his own stock and requests replenishment from the manufacturer.
- Manufacturer replenishes parts via a delivery challan without charging consideration.
- No GST is payable, and no ITC reversal is required by the manufacturer.

Example: Distributor XYZ replaces a part from its own stock and requests replenishment from ABC Ltd., who provides the part worth ₹7,000 via delivery challan without charging consideration. No GST applies, and ABC Ltd. doesn't reverse ITC.

Issue 03: If a distributor provides WRR but bills the manufacturer for these services via **tax invoice or debit note**, is ITC applicable on this activity? The distributor is supplying repair services to the manufacturer, who is the recipient. Therefore, GST is payable by the distributor on the services provided to the manufacturer & **ITC is available** on this activity.

Clarification on time limit in respect of RCM supplies received from URP

- When RP receives supplies from an URP and has to pay tax under RCM, they must **issue an invoice** themselves.
- The time limit to claim ITC **depends on FY** in which this invoice is issued.
- However, ITC can only be claimed if the tax is paid and all other conditions in Sections 16 and 17 are fulfilled.
- If the invoice is issued after the **"time of supply"**, the recipient will have to pay interest on the **delayed tax payment** and might also face penalties

Clarification on availability of ITC on ducts and manholes used in network of optical fiber cables (OFCs):

- ITC on ducts and manholes for providing telecommunication services is **not blocked u/s 17(5)**.
- Ducts and manholes are considered as **P&M** since they are essential for laying, upkeep, and maintenance of OFC network, and are used for the **outward supply** of telecommunication services.
- Therefore, ITC on such ducts and manholes **is allowed**.



Clarification on ITC of Demo Vehicles

- **Allowed:** Demo vehicles (<13 passengers) used for promotion/sale are treated as further supply → ITC allowed (not blocked u/s 17(5)).
- **On Sale:** When demo vehicle is sold → Section 18(6) applies.
- **Blocked:** If vehicles are used for non-business purposes (e.g., staff transport) → ITC blocked u/s 17(5).

ITC when OEM hands over goods to transporter (delivery to dealer):

If OEM dispatches goods to dealer via transporter (as per dealer's instructions), then:

👉 **Delivery to transporter = deemed delivery to dealer**
Hence, dealer is treated as having received the goods





THANK
YOU